Why Stocks Had Their Best Day Of The Year — Then Their Worst

Podcast: prof G markets

AI Executive Summary

This conversation delves into the outcomes and implications of the 2022 U.S. midterm elections, focusing on several key areas:

1. **Youth Vote and Economic Issues**:
2. The youth vote, particularly among young men, showed a significant shift towards the Democratic Party. This demographic voted 70% for Democrats, compared to 30% for Republicans.
3. Young men, who previously supported Trump, were disillusioned by the economic policies and perceived lack of opportunity, especially in industries like manufacturing and transportation.

4. The Democrats need to address the wealth transfer from young people to older generations and offer more opportunities to the youth.

5. **Populism and Economic Policies**:

6. There is a growing trend of populism, with candidates from various parties embracing this mantle. This shift is driven by economic issues and a desire for more accountability and growth.
7. The Democrats need to pivot towards a growth agenda, focusing on healthcare, affordability, and job creation, rather than just focusing on prosecuting Trump.

8. The elimination of the Electoral College, if it happens, could significantly alter the political landscape and how campaigns are run.

9. **Economic and Market Implications**:

10. The Democrats' victory could lead to a more favorable economic environment, with potential for increased spending and regulatory changes.
11. There is a debate over whether the Democrats will focus on prosecuting Trump or on economic policies. Some argue that

prosecuting Trump could alienate swing voters, while others believe it is necessary for accountability.

12. The market implications include potential changes in tax policies, healthcare reform, and AI regulation, with some expecting a positive impact on the stock market.

13. **Key Takeaways**:

14. The Democrats need to focus on economic growth, affordability, and opportunity for young people.
15. There is a need for sensible AI regulation rather than outright bans.
16. The elimination of the Electoral College could reshape the political landscape, making it more democratic and inclusive.

Overall, the conversation highlights the importance of addressing economic issues and ensuring that policies benefit the majority of Americans, particularly the younger generation.

Diarized Transcript

SPEAKER_02: Support for the show comes from Attio, the CRM for teams who set the pace. You know that rep who closes faster than everyone else? They're not quite who they seem. While they're walking into every call prepped, writing perfect handoff briefs and follow-ups and catching every signal in time, they've actually got Attio working for them around the clock. Attio's revenue agents qualify and work every account so they can move at scale with ease. It's how startups including Granola, Modal, and Whisper Flow win. You can go to attio.com slash provg and you'll get

SPEAKER_04: 15% off your first year. That's attio.com slash prof G. Computers are getting smarter. Silicon Valley is getting weirder and AI is taking over. At least that's what everyone keeps telling us. Welcome to machine gods, a new NPR podcast that will be your field guide to the AI powered future. We're veteran tech journalists with front row seats to the industry. And twice a week, we'll make sure you get smarter about AI. So you know what's real, what's hype.

SPEAKER_09: And what might come next? Listen to Machine Gods from NPR on the NPR app, or wherever you get your podcasts. Are you sure we don't want to do gifts this year? Yeah, don't worry about me. Bombas. Sorry, did you just say bombas? No. Bombas, cozy socks. Totally. Bombas, slippers, size eight. Wow, so you're just- Pilates socks. Underwear. Okie doke, got it.

SPEAKER_08: Bombus, the perfect gift for when you're not doing gifts. Visit bombus.com slash audio and use code audio for 20% off your first purchase. That's B-O-M-B-A-S dot com slash audio. One purchase equals one donated, always. Today's number, 13,000. That's how much quartzite seats at the Nick's home opener are selling for. Ed, knock, knock. Who's that? Democracy, bitches! Ed, how are you feeling as a young man? Are you hopeful? Totally.

SPEAKER_03: Hopeful fired up. It's been a great week. I haven't been getting a lot of sleep because I've just been, you know, I doing that

midterms election live stream is reacting to that. Um, but you know, this is, this is a big week that came up in my feed. It's like bad public access television, talking about the elections and you're off like doing a gang bang with, you know, you're not only cheating on me, you're doing an orgy. It's a collaboration. It's not an orgy. It's a crossover. is what we call it in podcasting. I love that. My favorite is the camera work. You'll say something, and then they'll pan to Anthony going. It's called television. This is how it works. Old people agreeing with the young man. Where are you right now? I don't get this background. I'm in London. I'm heading home to New York tomorrow. What are you doing in London? You don't even tell me you're leaving anymore? I thought I did. I was in London for the livestream.

SPEAKER_06: Remember, Rest is Politics is a UK company, so we very weirdly traveled to London to react to what was happening in the US. So we woke up at 2.30 in the morning London time, headed over to the studio, and then reacted to the greatest, one of the greatest congressional defeats in American history. So look, it was a great night, or it was a great morning here in London. You went to London to do a podcast on American elections? Correct.

SPEAKER_03: I'm pretty sure your employment agreement prohibits that, but I'll get back to you this afternoon with our lawyers. Pretty sure that means you forfeit all your equity. I'm pretty sure that's advertising for our show. That's marketing. We're going to see a big bump. Enough of this shit. Ed, how fantastic are we feeling today? How fantastic. How are you feeling? So you're on tour, is that correct? Yeah. Look, I woke up yesterday. It looked good when I went to bed on When was it? Tuesday night? And I woke up Wednesday morning and I just sat on the edge of my bed watching CNN and then thinking, is this real? I'll go to Fox and see if it's real. I'd go to Fox and I'd see a bunch of like- Oh God, those reactions were incredible. Just utter dejection. I'm like, wow, it is real. These people don't even know how to like wallpaper over this. That's right.

SPEAKER_06: And then they flip that suddenly they realize what's happened. And then finally, after years of just total and utter delusion and sycophancy, they realize, Oh, actually, maybe we made a mistake,

especially when you consider the fact that their ratings have fallen 30% in the past year. So they clearly made an error and it clearly didn't work out. So now they have to figure out what to do next. But boy was that Fox news.

SPEAKER_03: That was fun to watch. Yeah, you're going to essentially see all the the mag seven tech guys and all the podcasters that fillate them. They woke up yesterday morning and decided they're Democrats again. You're about to see all of these tech bros start to make more noises. I mean, these guys, these guys are like, you know, they're they'll they'll go to any glory hole that looks hard with power at the moment. You're going to see all of a sudden a very significant pivot to the left in terms of the rhetoric. from the taxi, but anyways, I was so, I spent so much time yesterday, just processing it. And I realized I was finally starting to like, my emotions were starting to bubble up when I was watching Goodfellas and began to sob. Is that bubbling up or is that fully reaching, reaching a boil? I think I'm just at a simmer at this point. I have literally, I have been. I have been dancing, which is not good for anybody. I saw your dance moves, actually. I thought they were very good. I was actually quite impressed. I appreciate that. But let's stay on Goodfellas. What got you? I think I was just ready to emote. And then I watched Shawshank Redemption. I couldn't stop. I could not stop crying. I'm like, he found him in Mexico. I wonder if they're friends now. Well, that'll get him. I've been very, and then I can't even watch Modern Family. It really is I really do think like I was trying to Grasp my emotions yesterday. I'm just so happy for I Mean, you know, there's always shit you don't like but every like every minute it just kept getting better I'm like, oh wait first openly gay senator. Oh wait first Native American governor. Oh wait. We've only had three black governors in history now There are five and by the way good for the Republicans. They nominated where they elected a black governor in Florida. There's doctors, people who actually understand science, a ton of veterans who have served their country. I mean, there's just so many wonderful candidates that overcame shitheads that shouldn't have been running for Senate, but they were the sister of some former senator and the president liked them, or a guy who'd been impeached by his own party and had taken money to protect a pedophile. I mean,

SPEAKER_06: It just feels like America woke up and said, Jesus Christ, I am back. This was an emotional week, um, because it basically, I mean, obviously it was a blowout win for the Democrats, but it also feels like a blowout win for democracy, which I think a lot of people were genuinely losing faith in. And it seems as though, I mean, what was so, I agree with you, disturbing about the depravity, the cruelty, the brazen corruption. I mean, the fact that our government was literally being run by mob bosses who are criminals. I mean, literal criminals. Proven convicted felon of sexual assault. So we already knew that. Plus the corruption that was very apparent. And I hope we'll now start to see some justice taken. And of course he then went and removed all of the agents at the agencies who tried to investigate him for his corruption. But it seemed the fact that we had voted this guy in twice was America saying that we endorse this and this is, we're okay with this and this is who we are. And the reality is that, you know, the elections were pretty close. And I think honestly, the Democrats shat the bed, especially the previous election cycle because of what happened with Biden. And so we weren't getting a very pure signal. I don't think. in 2024 of who the nation really is. But this time, it feels like all of the facts were on the table. We all understood what was going on. And this was America saying, yeah, actually, we're not cruel and depraved. Actually, we believe in decency. We actually believe in kindness. We believe that there is a way to be strong and kind and generous at the same time, which is what so many of these candidates have exemplified. Like Talarico's speech at the end, maybe we should pull it up and have it handy, but it was all about love and generosity. And that was what he said about Paxton as well. I mean, he went on diary of a CEO and he was asked about Paxton at the end. He said, I love this person because he's a child of God. I mean, there's a level of strength and generosity that seems to be bubbling up in the party right now. really resonates with people. Like this is actually for the most part, as we have tried to argue multiple times, for the most part, people are good. They're good and they're kind and they're generous. And this was America saying, that's who we are. I think that's really well said, but I've been watching, you know, closely watching politics and elections since I was, you know, for a while now. And this really is, this is not since Nixon was

SPEAKER_03: you know, about to leave office has there been this type of route of the, I think there's 435 congressional districts, not a single one flipped to Republicans, not a single Democrat lost to a Republican yesterday in the entire House of Representatives. It's unbelievable. And by the way, victory lap, because we predicted exactly this. My June prediction was landslide. You predicted it. You were much more bold in looking at the numbers. As someone who's, you know, I'm like a beaten dog that's just sort of scared to come out of the corner, regardless of how nice everyone seems. And I was much more cautious. I'm like, I don't know. Anyways, I'm very happy. And I've decided to wear these blue democratic sunglasses.

SPEAKER_06: or glasses which make me look like an aging porn producer in honor of the election. I'm not gonna, I'm not gonna agree with you, but I'm not gonna disagree with you either. With that, shall we get into our intro and discuss next steps? Let's do it. Democrats swept both the House and Senate in a historic victory last week. The day after the election, markets rallied with the Dow posting its best day since April 2025. Five big tech companies added roughly 1 trillion in value. But by Thursday, that momentum reversed. The Dow dropped more than a thousand points and the Nasdaq sank 5% hit in correction territory as tech stocks erased more than a trillion dollars within 30 minutes. The sharp swing suggests investors are still trying to make sense of what the election results could mean for the country with Democrats set to take control of Congress in January. The big question is what changes this shift in power could bring. So Scott, we're going to look at the potential impact of the elections in this episode. We're going to look at the impact on the economy, and then we'll look into the impact on the markets. And it appears that investors, they really don't know what to think. Clearly a ton. of anxiety, confusion, initially a lot of optimism coming off of this. And then suddenly the sentiment just completely reversed. I also think it says something about the amount of leverage in the system, the fact that the markets can whipsaw this quickly. But I think one of the central questions going into the end of the year and next year is what will the Democrats actually do? Because there are these huge massive decisions that Trump has made, specifically tariffs and Iran. And we could talk about Medicaid cuts and reductions to SNAP benefits, et cetera. But I think tariffs in Iran are the two big ones. And it seemed initially, based on the market's response, where the price of oil tanked, and

by the way, continued to go down, it seems as though that is the market saying that the war is going to end soon.

SPEAKER_03: But I'm not sure if that's necessarily correct. So what do you think changes from here? It's very hard to find themes in a one-day movement in the market. So if you look at the economic policies, one of the things the Republicans have been great at is branding themselves as the pro-growth, pro-economic growth party. I would argue that over the last 10 years, the GOP has moved from being the pro-business party to the pro-billionaire party. And that if you actually look at the policies of massive deficits, not reinvesting in the middle class, that over the last 12 presidential administrations, what you've seen is lower growth in Republican administrations, lower job growth with greater deficits. That's just a fact. And that I would have liked to have thought that the market said that this was an endorsement of democratic policies as it relates to the economy. But I think probably what it was, given the check back today, was a bit of a relief rally that the markets don't like uncertainty. That once the markets have sort of a feel for what the next few years will be like, and the election is over, the markets like knowing who they're waking up next to, even if you don't agree with their politics, or they just, they want a certain level of certainty. And once the election was over, there was a bit of like, I call it an uncertainty relief or certainty relief rally. Today, I think, especially with the wipeout we've seen in tech stocks, I wonder if people are interpreting this populist movement against data centers. I mean, the elections sent a resounding phase plan or not-so-fast girlfriend to data centers and thinking, OK, is the capital formation, if you have a wobbliness in big tech around it being out over its skis, because of these incredible capex wars. And then you have a hostile, potentially a hostile Congress. What might that mean for the companies that are basically have become sort of synonymous with the market as they represent so much of the market? And I think it sort of woke up and said, okay, great. Now what? Is this potentially at exactly the wrong moment when the sector itself, which is basically, as it goes AI, as it goes on the market right now, I would argue, are we about to see additional headwinds if the Democrats come in and start just getting passing all sorts of anti-AI legislation, anti-growth legislation? I don't think that's going to happen. I think that regulation is actually key to a market's growth. And one of the things that's been constraining AI companies is a lack of guardrails

and clarity around how they operate, what they can, what they can't do, and some certainty from citizens that these models are going through some sort of blue ribbon panel or check. The piece of data I did see yesterday that just blew my mind, and I think I might have seen it from you, or from your show, was Tom Lee, and it's all over the internet now, showing that when the Senate in a midterm election flips to blue, and that's happened, I think, 20 times since World War II, every time over the next 12 months, or six months maybe, the markets rip up. And it's 100%, it's 20 for 20. So I'm trying to digest why the market is seesawing back and forth. It is very hard to draw consistent themes, and CNBC I'm sure has already interpreted this 45 different ways. But I think it is difficult to draw any conclusions either way.

SPEAKER_06: as I tried to do yesterday, based on what we've seen in the last 48 hours in the markets, what are your thoughts? It's very hard to understand exactly what investors are thinking. I mean, just to start off with the initial rally, because what you had was a very, very big rally. The Dow especially up 3%, best day of the year. S&P up 1.5%, NASDAQ up 1.5%. Don't forget oil. Oil down 8%. And by the way, that that continued to go down going into the week into the end of the week. So. I think what is definitely clear is there is an assumption that we will have a swifter end to the war. And I think probably one of the big reasons that investors think that is because JD Vance came out and said something that was pretty anti-war. Uh, plus you've got control over Congress at this point. And so that might put pressure on the president to be clear. The president still has veto power. So they don't have enough seats in the Senate or the house. to override his veto. So if they decide we want to make these decisions, he can just say no. And he's said as much. He's just going to veto things that he doesn't like. So I think there is an open question now as to will the war come to a swifter conclusion. And right now, investors are betting. Yes. Is that the right bet? I don't think so personally, but that's a debate we can have. At the same time, I think they were probably projecting that tariffs will come to a a sooner close than perhaps we earlier thought as well, because of course, tariffs are a tax on the US economy. They're especially a tax on American consumers, but they are also a tax on corporations as well. Yes, corporations can pass on the costs to consumers. That's exactly what they did, but not all of them. They bore about 40% of the costs and they sent over the remaining 60 to the

consumers. They, of course, got their the 40% back in refunds, but still that is a level of uncertainty that investors don't like. I think that they were expecting something to be resolved there. I also think your point is important, which is the psychology of having a results. Once you know what's happened, you feel better. You're down with any results so long as you have a result. And that's helpful. And then I think to your point about Tom Lee, we know from history, that having some level of gridlock, which has now been introduced because you had Democrats with the House and the Senate and Trump with the executive, you didn't have that before, you had total Republican control, gridlock means it's harder to make crazy decisions in government. And investors like that. So I think those were the dynamics that were going into the pop. Now, the thing that I think is pulling things back is, as you say, this data center question. And it's really interesting because immediately, as soon as the results came in, all of the extremely leveraged data center names, so the neoclouds, coreweave, nebius, iron, absolutely tanked, just fell through the floor, plummeted, terrible. I was thinking that you would see the same thing among big tech, among the hyperscalers, but that didn't happen. you actually had significant increases in Google, Amazon, Microsoft rose six and a half percent on the day after the election, all time high, incredible rally from Microsoft. And that was the thing that I was trying to, what is going on here? And my initial thinking, is okay, this must mean that investors are actually happy that we're going to see a data center slow down because maybe it means that this is going to pull big tech out of the capital arms race. We don't like how much they're spending on data centers anyway. We're worried about it. We like their existing businesses. And so maybe this will pull them out of it. But then... the sentiment shifted. And this is where I think investors are very confused as to what's actually good and what's actually bad because suddenly Google goes down, Amazon goes down, Microsoft goes down as well. And so I'm not sure they fully know how to feel about this, which I think honestly is fair because the jury's still out on AI and if there is a real return there and we actually don't know. if investing hundreds of billions of dollars in these data centers is a good decision or not. If you think that it's a bad decision, or if you think that it's a dangerous decision, you should probably be a little bit more bullish on the hyperscalers because this basically forces them to stop spending as much. But at the same time, they've committed to spend so much already. And so maybe this puts them

at a structural disadvantage. I'm not sure. And there's a lot going on here. So I guess

SPEAKER_03: your reactions to all of those dynamics and what you think may or may not be right. The kind of simple or lazy observation, and it might not be the right one, is that there's just been a rotation out of, if you think about the NeoCloud or the NeoCloud guys or the Compute guys, they're basically levered traits to AI, right? I mean, as goes AI, it goes them times three or times negative three. Whereas if you still want to play the AI trade, but you want some diversification, you go into big tech. I mean, Alphabet, Alphabet and Microsoft are both AI plays, but quite frankly, AI could end up being vastly overhyped and be like the railroads, and they would still be fine. People are still gonna be buying Google search ads and YouTube ads and PowerPoint. The lazy explanation is people said the levered AI trade based on one piece of data from yesterday, looks a little scary. So I'm going to take my leverage down. I still want exposure to it. I still want to be, you know, big tech or these names look like great ways to play it with some downside protection. Because the piece of data that I think the market is looking at or the brightest. So the market every day absorbs hundreds of millions of points of light and then tries to make an unemotional decision, right? But the one I think being the laser beam yesterday was that there were 41 local ballot measures on data centers. And 40 of them lost. I mean, Ohio, Georgia, and Texas account for more than 40% of all planned data center capacity. So almost half of data center capacity is in three states. And all three just elected Democratic governors who campaigned on stopping or slowing their development. And I want to be clear, I think this is a bad idea. I think I was in camp. We were in Toronto Monday night. And then I did a podcast with the Deputy Prime Minister, the former Deputy Prime Minister. Then we, last night, was it last night? Last night we, as our guest on stage, we had Senator and Governor-elect Amy Klobuchar. And I straight up said, it's cold here. You have energy. You have a shit ton of land. Isn't this, and you need growth. The basic story of demographic shifts and migration in America over the last 20 years is pretty basic. It's people leaving cold high-tax states and moving to warm low-tax states. And I said, as a governor who now is responsible for growth, how do you balance these populist movements against data centers with the need for growth? And isn't Minnesota perfect for data centers? Why wouldn't you

want some of that great tasting AI revenue growth and capital formation? And she, quite frankly,

SPEAKER_06: Dodge the question because by the way, it is so hard and this is going to be the thorniest question for Democrats because there are decent Arguments on both sides which we will get into but doesn't surprise me that she dodged it because that is a fucking hard question But sorry continue. Well 71% of Americans said they opposed building one in their area

SPEAKER_03: which for context is slightly lower than the share of Americans who oppose strip clubs. So people would rather have a strip club or a nuclear power plant. Well, that's all of us, but yeah. Well, there you go. That's just common sense. That's just common sense. They got their heads screwed on. There you go. And so in an attempt to get around this, OpenAI is now rebranding data centers as compute campuses. That's my favorite. They're all going to be walking around with backpacks. Scootering from from clause to clause of that compute campuses Consumers figured out pretty quickly. I don't I don't think the rebranding is gonna save them But this the data center thing I would argue the data centers are the new empty vessel for income inequality and it's the worst managed brand in America and they decided to literally picked the opposite of Michael Jordan, who was the best spokesperson in history. They picked Kevin O'Leary, who couldn't have been a worse spokesperson. And people are upset about income inequality. People are upset by what they perceive is a correlation between the Epstein class and the Tech Brothers. And their empty vessel, how they can vote on it is they vote on data centers. And data centers have become, and again, our comments will fill up, Scott, you live next to a data center. The state with the most data centers is Virginia. and they like them. And so I was shocked. I mean, basically, what I thought was gonna happen was that red states are gonna benefit economically, because they were gonna say, all right, your market for supply for data centers for approval has shrunk, which means I can extract more money, more guarantees around not having a constraint electricity bills, more taxation. And they'd say, fine. And then they come in and there's more economic growth in red states. And now it looks like the market is saying the hose has been cauterized here, that these data centers literally have nowhere to go. Even Republican governors

are going to be somewhat remiss. But yeah, the data, anyways, if I were to try and pick one point of light that the markets woke up to and said, oh, uh-oh, and then also is validated by the thesis that the ones

SPEAKER_06: that are the least diversified to the choke of supply of data centers are the ones that got hit hit the hardest. That would be the point of light I would be looking at. But, you know, it's difficult. That's it. I think that's the most important thing for the markets coming out of this election was that the people were asked how they feel about data centers. And it was basically just a giant flat resounding no. Only one of those measures got passed the rest. failed. You had four moratoriums in Maine that were passed overwhelmingly, 82% in Wells, 76% in Peru. I mean, just incredible numbers. And, you know, Alex Boris, who is an assembly member who's written some AI legislation, we had him on the show, and he made a very good point. He pointed out that if you ask people how they feel about a data center versus an AI data center, data centers themselves are still underwater. but AI data centers are another 20 points underwater. And so what that tells you is that this is a piece of policy that has been injected with a huge amount of emotion. And that might mean that maybe people aren't being fully rational in terms of their decision-making about what's good and what isn't. However, we should also acknowledge that this is the first time in years, perhaps decades, after our country has been essentially overrun and taken over by a billionaire class that after the Epstein files was proven to be pretty awful in a lot of ways. I mean, the conspiracy theorists were not totally right, but they were kind of right about what was happening. and what these tech billionaires were doing. And we've seen it in our politics, the hundreds of millions of dollars that they've spent on our politics after Citizens United. These people have been running the country. And if you look at a lot of them, if you look at Elon Musk, I mean, these are not exemplary people. This is the first time where the American people have had giant leverage over that class, over those people. They know. that in order to create the extraordinary wealth that they are so set on creating for themselves, they have to get approval from America. And so, whether or not it's technically rational, I mean, these data centers will generate some tax revenue for local communities. At the same time, there are clearly downsides. The electric prices are not great, though it seems as though a lot of these companies are saying, we'll bring our own energy. But still, that's

going to be a problem. They're noisy. They're big. They're ugly. They don't really employ that many people. They employ the third amount of the workers that a Walmart employs, despite taking up three times the space. There are reasons not to like them, but also maybe some reasons to like them in terms of growth, in terms of tax revenue. But more than anything, This is America saying you need us now and you guys have never been there for us. All you have done for us is take and take and take and you refuse to engage with us. You refuse to have any conversation about redistribution. any conversation about figuring out this inequality problem. And anytime anyone brings it up, they're immediately labeled a communist or a socialist, and the conversation just falls flat on its face. And so this is finally the moment where America says, OK, oh, you need us now. Now what do you want to do? We're going to say no. And what's going to happen now? And so it's not good for investors, but there's a little bit of sweetness to it because American workers have been royally screwed over for so many years now and this is basically their way to say fuck you back and You know, I'm not that upset about it. It's like Fair enough. This is sort of this comes with the territory. This is kind of what you get Is it necessarily the right thing? I don't know But but but I respect it and I and I and I get why it's happening

SPEAKER_03: The threat is governors more than Congress, right? It's that a lot of these governors ran against a very kind of anti-AI positioning. And now that they've been elected, they've got to at least dance to the music, if you will, or stay somewhat true. Chip and memory stocks. So the notes here, the election was the match, not the kindling. Chip and memory stocks had already lost about 4 trillion since October 6. And it looks like

SPEAKER_06: It looks like Qualcomm and ARM added to the pain, and the semis are still about, you know, they're still up about 30% this year. Yeah, that's the other thing. Who cares? You're fine. The stock market's up 8.5%. I mean, it's crisis on Wall Street as we go from 9% year-to-date returns to 8.5%. Like, I'm okay with that. That's fine. Another kind of simple way for trying to be reductive here is investors are separated.

SPEAKER_03: companies who are buying compute from those who sell it. And the ones that sell it got hit hard. And the ones that buy it seem to be

fine. And that it's an AI break, not a market break. And JP Morgan says 41 AI link names are about 49% of the S&P, above 1929 and 2000 peaks. So this just might be the market's way of saying the concentration risk is scary, so we're going to un-concentrate it, if you will. So the S&P 500 is 500 stocks, but it's basically one bed right now. And AI infrastructure spending is expected to top a trillion dollars. And so if the music stops, it's not that the party ended. It's that the neighbors called the cops, right? And the question is, once the cops leave, does the music start again? We'll be right back after the break. If you're enjoying the show so far, send it to a friend and please follow us on YouTube, Spotify, or wherever you get your podcasts. Support for the show comes from Zbiotics. The shorter months are upon us, which means even more evening outings and events. For some of us, that involves having a nice drink in hand. If that's your plan this holiday season, then let me tell you about pre-alcohol by Zbiotics. Zbiotic's pre-alcohol probiotic drink is the world's first genetically engineered probiotic. It was engineered by PhD microbiologist to break down acetaldehyde, an unwanted byproduct of alcohol metabolism. Make pre-alcohol your first drink of the night, drink responsibly, and enjoy your next day activities. Z-Biotics has sold more than 15 million bottles and earned the trust of thousands, including us. So I was using Z-Biotics before they became an advertiser. I'm trying to drink less as I get older, but when I do go out and plan to drink, I do a shot of Z-Biotics first. And I find that it takes about 30-40% of the ick away the next morning, which is worth it for me. The holiday season is officially here, and if you're anything like me, your social calendar is filling up fast. From Friendsgiving with friends to the turkey trot the next morning, these are the moments you don't want to miss. That's why I make Zbiotics pre-alcohol part of my routine before drinking, because the best part of the holidays is being present for all of it. Try Zbiotics pre-alcohol for yourself, and if you're not satisfied, they'll refund your entire order, no questions asked. Head to zbiotics.com slash propg and use the code PROPG for 15% off your first order. Support for the show comes from Framer. If your team wants a website that looks and feels handcrafted but is still fast to ship, Framer is built exactly for that. Framer is the AI website builder that helps creators, teams, and businesses ship production-ready sites faster than ever while getting every detail right. Prompt, inspect, edit, and publish in one place at a whole new pace. Agents solve the gap between AI-generated ideas and production-ready website

work. The agent works in the same place where the real site is designed, managed, reviewed, and published. It lands on the canvas, stays editable, and can be published when the team is ready. Here's everything that can happen when your team and agents collaborate. You can build custom code components, create and manage CMS content, optimize SEO settings, audit for issues, and ship everything all in one place. Learn how you can get more out of your site from a Framer specialist or get started building for free today at framer.com slash markets for 30% off a Framer Pro annual plan. That's framer.com slash markets. Rules and restrictions may apply.

SPEAKER_07: Are you tired of hearing about business, tech, and finance from the bros? We are the Tiger Sisters, a top business podcast with the Vox Media Podcast Network. Tiger Sisters releases every Monday and we decode money, power, and love. And who doesn't love all those things? We are the internet's Wall Street and Silicon Valley big sisters. Tune in every Monday for late night sister talk meets boardroom strategy. Check out Tiger Sisters on YouTube, Spotify, or wherever you get your podcasts.

SPEAKER_06: Welcome to the tiger fam. We're back with Profity Markets. What should the Democrats do? Because this is going to be the defining question over the next several years. And I mean, the American people have spoken. We don't like data centers. At the same time, we also know that we're technically in a race with China. It would be getting in the way of progress, technological progress. It's just a fact to slow them down or to obstruct them.

SPEAKER_03: That's the truth, but the American people don't want it. So what do you do? I spent this morning talking to someone who reaches out to me for advice, which is their way of saying, give me money because I want to run for president. And look, my thought is the following. So first off, the two groups that swung hardest from red to blue, Hispanics and young men. There was a 38 point, I mean, every group broke to blue, but it was 8% for certain non-white communities. It was like 12% for women. I mean, it was just really big numbers. Nothing matched how young men broke from red to blue, 38% swing. And the thing about young men, and the second biggest swing was Hispanics. And essentially those two groups, They're not triggered by territorial sovereignty in Ukraine or whether or not

to have a third bathroom. By the mind, they don't mind a third bathroom. They just don't care about it. They're not animated by this stuff. They're not as big on social issues or foreign policy. Young men primarily vote based on who they think is going to offer them more prosperity and the ability to develop the economic security to start a family. And they're swingers. They'll go one way or the other. And my fear is that the Democrats are going to think they have a mortgage when they just have a renter right now, that they're in a relationship. They're not. They're just dating. And that those swingers could easily swing back in 24 months. So how do we turn it? How do we put a ring on it and maintain the momentum and hold on to those people going into 28? And I think it's the following. I think the Democratic party needs to move from the party of indignance and obstruction to ideas and growth. I believe it would be terrible for, so for example, people are talking about the new, you know, oh, watch out SpaceX, right? It's in Texas and now it's all blue. They would be stupid to do anything to try and be punitive around space. They need growth. And by the way, there's a ton of states and countries that would love to have SpaceX, right? By the way, investors are very worried about that one. Down 11% SpaceX on the week. They think SpaceX is screwed. Well, I think there's a lot of reasons why SpaceX might come under pressure right now. What I'm advising Democrats and what I think we need to do is, OK, you don't want to go on an impeachment nostalgia tour. This doesn't need to be about, sure, there should be accountability. I do think people need to be hauled in front of Congress. I think you have to have accountability and laws such that the markets feel like there are card rails, such that we don't become like the Russian stock market and people think if I'm not on the inside, the game is rigged so they stop investing. I think that's important. But that should be a fraction of the energy and calories here. The majority of the effort should be, OK, how do we provide universal health coverage such that we can take the taxation and incredible spend on our health care from 17% to 15% to 13% to where it is in the rest of the G7? It's seven and a half or eight. It's never going to get there. It'll probably be 11% or 12% here. create a tax policy that starts to reinvest in the middle class. As a percentage of GDP, wages have never been lower. As a percentage of GDP, corporate profits have never been higher. We need, quite frankly, we just need to reverse the flows of capital and prosperity from owners to earners who drive prosperity and consumers who are the reason why the economy works or doesn't work.

There needs to be a series of policies that they outline They'd say, OK, and also show that they're, I hate to say it, more friendly to capital formation and AIsmen and more pro-business and really concerned or really thoughtful around economic growth. Let's move to a growth agenda from an indignance agenda. And it's very simple. It's one thing to tickle the censors of upper middle class progressives by saying, no data centers or let's tax the billionaires. OK, fine. But at the end of the day, if you shoot yourself in the foot and you don't have growth, you become like the UK. And that is, if you're not growing economically, you can't pay for your Navy. You can't pay for food stamps. You can't pay for vocational program that helps lift people out of poverty. So I think the Democrats need to absolutely pivot to the middle economically. try and ignore this populist bullshit. And if you look at the elections, Fox and the media loves talking about the DSA and how crazy they are and their socialists. The majority of the Democrats elected yesterday are centrists. And I think that they need to show a growth agenda. Yeah, it's going to be fun to haul some people in front of Congress and make them answer difficult questions. But the real, the swing voters aren't going to tune in to C-SPAN to see

SPEAKER_06: Jared Kushner in front of some committee answering uncomfortable questions, they want to know, they want to see that there's growth in their state, economic growth that provides the same opportunities that I had when I was your age to people your age. I agree to an extent there are some elements on which I disagree. On the data centers, you know, I look at, I don't think that we're seeing like a populist lurch to the left. I think a lot of these candidates have been massively mischaracterized about what their policies actually are. And I'll just give you an example. Like Amy Acton in Ohio, she has backed a moratorium. And a lot of people say, I mean, some people support that. They hear that. Oh, great. I hate data centers. Great. But I think a lot of people hear that and they say, Oh, she's a populist idiot. She must be a socialist. She just hates data centers. And the truth is, she has backed a conditional moratorium unless the developers of the data centers cover 100% of their utility costs. And that to me is sensible regulation. You are saying, here's the framework. You're not allowed to do it unless it actually benefits the American people. And I look around at a lot of these candidates and I see a very similar thing. I mean, I look at El Sayed as an example who was immediately dubbed DSA socialist whack job and

jihadist terrorist. I mean, that's a little easier to see as crazy because it's like, okay, you're just racist. But in terms of the socialism, it's like, this guy has specifically said, I am not a socialist, I am not affiliated or in the DSA, I am a capitalist and what I am for is regulated capitalism, which is what we are all for. That's exactly what we're going for. And so I look at a lot of these people and I'm like, these are actually overwhelmingly reasonable people who have, I mean, even AOC, she said woke 1.0 was done. It's like, I actually don't see a problem with any of these people. I think they're being caricatured as these crazy people who are taking this. things into this crazy direction. It's like, actually, most of the people that I'm looking at, a lot of these candidates are sane. The only thing that makes people anxious is that they are fiery and strong. And to me, that's actually important and we need that. And this is where I think, I mean, it sounds like maybe we overlap in what we think about the impeachment and the prosecution. I agree that that shouldn't be your number one priority. Your number one priority needs to be go after the economic problems, figure out housing. We need to build more homes. We need to address inequality. But I think you need prosecution and retribution because what has this guy done? Crimes. I mean, just flat out. And by not prosecuting crimes, you're giving in to politics by saying, I mean, to me, it's disrespectful of the law. not to prosecute the shit out of this guy. And I agree, performative impeachments and congressional hearings where some Democrat gets their moment to be cool and get their clip, fuck that. But this guy clearly committed crimes. I mean, we'll see, let's see the evidence. But you need to prosecute these people. You need to bring Gail Slater... from the DOJ into Congress and ask what happened? Why were you ousted right after you tried to investigate the Trump administration? Why was Meg Ryan ousted from the SEC after she tried to investigate Trump and his insider trades? Why were CFTC officials told to stop investigating the billions of dollars in oil trades that were very unusually timed right before Trump went and changed his decision on Iran? Like these are just crimes. I hope that the Democrats don't give in to being seen as being politically biased by not prosecuting the law. And I hope that they are actually very strong and resolute in that. I hope it doesn't mean that it's the only thing they do, but I actually do want to see some prosecution. I agree with most, if not all, of that. But the way I would position it is not as retribution, but as accountability.

SPEAKER_03: you know, let's look at all of the stock trades. Let's bring in experts. Let's talk about, let's bring in maybe certain family members and say, what exactly was the deal? Why did you, someone who has no background in money management, get 2 billion and what was given, what was returned in exchange for that? When the entire group investigating, the entire crypto fraud group at the SEC was eliminated. Okay. I mean, you're right. There's just a ton of... At a minimum, the American public needs to understand what happened here. Also, just in terms of rail politic, I think as Democrats, it would be a mistake to go on an impeachment nostalgia tour. And to be blunt, I think Americans and Democrats have to get used to or come to grips with the fact that Donald Trump probably is not going to be prosecuted nor go to jail. While he's president, right? Because he'll pollinate himself or what? We're not going to put an obese 82-year-old former president in prison, Ed. We're just not. And only that, even if he's... Everyone says no one's above the law. I'm not sure that's true, because if you put a president in prison, what happens the next time when it swings back? Remember the Republican chance of lock her up? Now granted, I don't think Madam Secretary Clinton, who we interviewed Sunday night, or Monday night, it was guilty of a crime. But I think it is dangerous when you start putting presidents in prison. But you're letting them win. If you're saying that we're not going to prosecute the law,

SPEAKER_06: and adhere to justice because we're worried about what might happen later politically, you're letting these criminals take over our system. Do you really think we're going to put a president who was elected legitimately twice in prison at the age of 83 or 84? You think that would be good for America? If the judge believes that that is what is deserving of the crimes, I think...

SPEAKER_03: probably the answer will be yes, then yeah, I think it's good for America. I think it shows you that no one is above the law. And if we don't do it, then we're admitting that our justice system is flawed. There's 90% overlap. I want to have Howard Lutnick in there. Let me understand how your son's got this a billion dollars in investment. Can we have you just read this section from the emoluments clause? and help us understand how you tried to thread the needle between stated law that your family is not supposed to be benefiting from trading off geopolitical power.

I am all for it. That needs to be overwhelmed by thoughtful policies around healthcare, around reducing tariffs. I think immediately a presidential candidate should do a couple things. One, announce a framework for a democracy-free trade zone. We need to go the other way on tariffs. It will hurt some American industry, but say consumers need... to benefit from a local economy. Shareholders need to benefit from our comparative advantage around higher margin IP driven products. And we need to send a signal to democracies and our former allies and trading partners that we're serious about lifting everyone's prosperity. And we're going to have the mother of all free trading zones. And we're going to take tariffs absolutely the other way. I think another thing we should do immediately is outline an enormous bill of support in terms of weapons, in terms of capital, in terms of intelligence for Ukraine. Because even if those things don't pass, even if they're vetoed, they set the agenda for the next 24 months. But to go on, if we're just overwhelmed with another what I'll call, if we go on a retribution slash impeachment nostalgia tour against Trump, I think we lose the swing voters. I don't think the swing voters, I think the swing voters are looking for I do think they're looking for accountability, but more than anything, Ed, I think they're looking for affordability and a way forward for their families. They're trying to figure out how they're gonna pay for their healthcare, how they take their kids to Disneyland again, how they afford an education, how they find housing that's a reasonable, how they get their kid out of the basement. And yeah, they want... They want to understand how the SEC has become so neutered. They want to see the IRS fund it again. They want Big Tech held accountable. Sure, they want all of those things. But I don't think that can be the banner we fly under. and an obsession with putting the president in prison. If he committed prison-worthy crimes, that's not... I mean, you shouldn't be putting the president in prison just because you don't like him. You shouldn't be putting... We're not gonna come to an agreement on this. I'm more a real politic. I think that's a bit of a side issue. I worry that creates an ultimate circus and distraction, and that's not what American families are focused on right now, but around what I'll call accountability. and restoring the SEC, restoring laws, figuring out what, even the crypto market, the hardcore serious crypto people want some accountability here. They wanna go, okay, what the fuck was with this mean coin? Who were these wallets buying it the day before? There are so

many interesting hearings that are gonna happen for wonks like you and me.

SPEAKER_06: The majority of Americans are just gonna look at gas prices and where their rent is. I agree with you that this can't be your whole thing as screw Trump. You need to have an agenda and you need to fix the affordability problem. You need to address the economic issues and you need to be energetic and bold about it. And I think you can also be that way about prosecuting justice as well. And that's my expectation of every Democrat. You can do both. You can prosecute crimes and you can also... work for the American people. But I don't think that Americans see this as a nothing burger. I think this was a genuine indictment of our justice system. And to just not deal with it or ignore it or just say, okay, it's fine, we'll just ignore that period of history, basically tells people in the future that there are people above the law. We're not going to agree on this, Ed. I appreciate your idealism. No one is above the law. I love the tagline.

SPEAKER_03: In my view, we're not gonna put a sitting president in prison and any effort to do that, or in my opinion, is gonna end up harming Democrats. And so let's just agree to disagree there. I do think we should have a ton of congressional hearings. I think there are a lot of people who have some explaining to do. And I think you're right. We need to restore a sense of rule of law here and accountability. We should immediately have an ethics law passed or at least proposed. Absolutely no stock trading. You can't serve in a private company or purchase stocks for two years post leaving Congress. Probably the most exciting thing that happened yesterday, no one's talking about. And it's the following, and I'm going to get the name wrong, the national ballot The Nationwide Ballot Initiative, I forget what it's, I forget the exact name, I'll get it, but it's the following, and no one's talking about it, and in my opinion, it's probably the most significant thing that happened yesterday, other than a giant repudiation of Trump's policies, and it's the following. The Electoral College might have died yesterday. I didn't know this. What happened? Well, okay, your vote, when you live in California, your vote on federal elections really doesn't matter. When you live in Florida, your vote really, I mean, it's just going, you know, New York's going blue. So there's essentially the key elections around president who sets the tone for the world has come down to a small

number of counties and a small number of states. That is not, that is a failure of democracy. What this ballot initiative or this, there has been an initiative that has been passed in I think 22 states. And essentially it says that, if California will allocate all of its electoral votes to whoever wins the popular vote nationally, they will allocate all of their votes, all of their electoral votes to whoever wins the popular vote nationally, right? They said, look, it's important that we want something that represents the will of all Americans, everyone's vote. If you're in a Southern state, There are some states where 30% of the population is black and they have almost no representation. In California, 40 to 45% of Californians are Republicans, they have almost no representation. So what this initiative said is that, okay, we're just gonna go with the popular vote and allocate our electoral votes to whoever won the popular vote. The only way that passes is if it gets to a majority, I believe, of the electoral college, which is 270. Enough states have passed it such that it's at 220 right now, so it needs like another 40 or 50 to become law. Yesterday, enough states went all blue, the governor, the senators, the state legislature, such that if those states pass this initiative, it goes above 270 and the electoral college is dead and we go to a system of national polling and voting. Whoever wins the popular vote nationally becomes president. That is actually now a viable possibility that that could happen very soon. That is an earthquake in electoral politics. It would reshape where money is spent. It would reshape how campaigns are run. All of a sudden, California and New York are going to get visits from the president and Florida. I mean, that is going to be an earthquake. And the fact that all of a sudden, states that were in the way of that, because they don't like having an election, they like the electoral college and the perversion it creates in our democracy, which has largely benefited Republicans. Remember, Hillary won the popular vote in 2016. This might be the end of the electoral college. That is... and very few people, I think that's the thing we're gonna start hearing more about in the next seven days. But my point is, I love your idealism and I'm with you and I think it's healthy the way you're approaching this. The Democrats immediately need to outline a series of proposals that say we're pro-growth, we're about accountability, and we're about healthcare, we're about affordability, and outline their agenda for 28, even if it gets rejected. Let Donald Trump veto a bill on ethics. Let him veto a bill that says we're going to lower Medicaid eligibility every year by two years such that we start to have a public single-

payer option. Let him veto that stuff. But basically what you would say to the world is, here's the Democratic agenda for 28. It's a pro-growth agenda. It's going to help you with your health care. It's going to attempt to bring down costs. Oh, and by the way, tune in to see Jared Kushner testifying in front of the Senate Intelligence Committee. Fine. That's your fun. You and me tune into that, but the Democrats have to be about, I think the main event here, the main course has to be about economic growth and affordability. We'll be right back. And for even more markets content, sign up for our newsletter at ProfGMarkets.com. Support for the show comes from FAIR. Whether your storefront is digital or brick and mortar, now is the time to prepare for holiday shoppers. And if you want your selection of wares to stand out from the rest, here's a tip. Stock your inventory with FAIR. FAIR offers curated wholesale products for home apparel, beauty, food and more. Think ceramics, artisan hot sauce, hand-tufted rugs, candles, even jam and smoked salmon. All these and more. The idea is to make it easy to source quality products that will be at home in any storefront. And with FAIR, they make it easy for independent retailers to stock products from over 100,000 unique brands worldwide. This also gives small and local businesses a platform to thrive. So far, FAIR has given more than 700,000 retailers access to over 100,000 brands. With FAIR, you can elevate your selection and stock yourselves with one-of-a-kind products just in time for holiday gift buying. Sign up today and get 50% off your first wholesale order up to 100 at faire.com slash propg.

SPEAKER_00: That's F-A-I-R-E dot com slash prop G. Fair dot com slash prop G. Terms may apply. As U.S. Americans voted in the midterm elections, a lot was uncertain, but one thing was clear. This year, many of the attention grabbing candidates identified or were identified as populists. Gina Hinojosa, a Democrat who ran a surprisingly competitive race for governor in Texas. Populism is about economic. power. Sam Forstag, who ran for Congress as a Dem in Montana. I'm running as a populist because populism is what the Democratic Party is supposed to be about. It's what democracy is supposed to be about. Josh Turek, a Democrat up for a congressional seat in Ohio. We want to once again have a common sense for a populist that is fighting for the people. And Senate hopeful Dan Osborne, who ran as an independent in Nebraska and didn't use the word populist, but. My life sucks too. Costs are too high. The last 10 years in the

U.S. have been defined by Trump-style populism. This year, candidates from across the political spectrum embraced the populist mantle. On Today Explained from Vox, what has 10 years of populism gotten us, and are we ever going back? Today Explained drops every weekday.

SPEAKER_05: At Vox, we focus on covering the things that matter in your life and the things that make you curious. Whether that's the big politics questions of the day, climate solutions that might actually work, or hopeful news in cancer or Alzheimer's research. We believe that journalism made for the everyday curious person can make a difference in making a better world. And if that sounds like something you want to be a part of, Vox now has a brand new app and it brings all of our journalism together in one place.

SPEAKER_06: Go to vox.com slash app to download today. We're back with ProfG Markets. Let's talk about the youth vote, young people, because that to me was sort of the most resounding group. And I think it says a lot about where things are headed in America, which is going to be massively important for the economy and for markets. But that is, I mean, you look at voters between the ages of 18 and 29. They supported Democrats this cycle 70 percent. to 30%. I mean, you saw a 38 point shift among young men who went hard Trump two years ago and lurched hard Democrats this year. And by the way, we also saw a lot more younger candidates running. More than a third of this year's congressional candidates were under 45. Millennials were the largest generation running for Senate. A lot of new blood, young blood. running for Congress. I think that was the other takeaway from the midterms, which is everything that we've been calling for and complaining about. Finally, we got what we wanted. Young people showed up and young people led.

SPEAKER_03: led the polls as well. That was another very exciting thing here. Abdel Al Sayed, 42, beat Mike Rogers at 63, James Talarico, 37, beat Kim Paxson, 63, Chris Pappas, 46, first openly gay senator elected, beat John Sununu, 62. It was definitely, I think America has been listening to people saying, okay, at some point, we need an electorate that looks, smells, and feels like America. A lot of doctors, a lot of women, more gay representation. We have never had in American history, there's only been

three black governors. Now there's five sitting black governors. So the youth vote was incredible here. Hands down, the largest swing. If we go to sort of, I've said that 2024 was about masculinity. Young men did not feel seen. And they felt that politics had become overly feminized. And then Trump came in with World Wrestling Federation crypto rockets and said to young men, I see you. And I think over the last two years, there's been an evolution, a healthy evolution of masculinity that it's about service, that it's about empathy, that strength is in the agency and service of others. And he has been anything but that. And then you see kind of all these young, dreamy people, many of whom have served in the military, many of whom who are doctors, many of whom look like they might actually have kids at home. And I think young men aren't as neanderthal about social issues as people think. The story for young men was economics. And the boring shit is what moves the needle. I believe... I mean, this was the perfect storm of bad things for Trump in terms of who is most likely to swing. And the people most likely to swing are young men. And look what's happened to young men over the last couple of years. All of the job growth in America has gone to industries that are largely populated by women. Healthcare, education, 80% women, right? Those have been the growth areas in the economy. And they're not as big as swingers. They're a little bit more resolute in terms of the parties they tend to go with. Young men overindex on what industries? Manufacturing and transportation. By the way, the two industries that have observed some of the greatest job losses. Let's talk about men drive, get this, men drive on average 30% more miles than women. So who do skyrocketing gas prices affect most? So everything went wrong for this guy. When I say this guy, I mean Trump. Everything went wrong for him. And men just saw, I think they really were revolted by what is a very, I hate to use toxics, but perverted vision of masculinity that Trump put forward and abuse of religious values, quoting scripture as you're cutting food stamps to poor people. the role models put forward in this administration. And also, I just think they said, look, whatever his economic plan is, I don't buy it because I keep seeing a billboard on every three blocks called gas prices that is telling me it's gonna cost me 160 bucks to fill up my truck. And he seems, you know, this again, The GOP went through a full transition. You said there are no man's land right now. There is no GOP. The GOP was kicked out. Adam Kinsinger and Liz Cheney, who I would like to congratulate for being steadfast and I hope that they're

enjoying this moment. There is no GOP. There's MAGA. And again, the primary association that they have lost was the GOP was always seen as pro-business. Now these guys are seen as pro-billionaire and billionaires have not acquitted themselves well because there's no longer even the billionaire class. There's an association. with tech brothers who have not acquitted themselves well. And as John Assoff says, the Epstein class, but young men, the way I would describe it though, in the cautionary tale of the Democrats is we're renting them. We don't own them. And unless there is a very strong set of policies that say, we see that for the first time in our nation's history, a 30-year-old is not doing as well as a 30-year-old was when your parents were at 30, we're gonna change that. And then the statistic that just blew my mind, since 2022, I'm not talking about 30 years ago, in the last four years, people over the age of 65 have increased their wealth by 62%. People under the age of 25 have seen their wealth decrease by 23 percent Democrats need to say we are going to start reinvesting in the middle class and specifically young people and we're going to fund it through through doing away with the Trump tax credits or tax cuts, we're going to refund the IRS to close the tax gap. We're going to have an alternative minimum tax on people making over a certain amount of money on corporations because they should pay their fair share. And a lot of Republicans agree with that. Bernie Sanders doesn't get enough credit. Bernie Sanders basically a decade ago said, and it seemed very populist and left-wing at the time, that we have to stop transferring money from the middle class to billionaires. He was fucking right. He just said that over and over, that the billionaire class is sucking all the oxygen out of the room. And that message has resonated with everyone, obviously, from AOC to Joe Rogan. So young men... I think they're a bellwether. They are all of a sudden, you are gonna see a lot more programs focused on young men. We're already seeing it from Governor's Moore, Governor's Newsom, because politicians are gonna have to respond and say, all right, we see this group. And while they may still not turn out at the same level as older voters, they're up for grabs. And generally speaking, the big transition or structural shift in this election in terms of the electorate, is that more people are up for grabs than ever before. And that is fewer, the largest political affiliation now is independent. It used to be you just went in behind the curtain and you went all red or all blue. Now, more and more people are saying, no, I might vote for that young pastor named Tallarico. Everything,

and this is a good thing, is up for play. And then you layer on top of that. possibly the elimination of the electoral college. And then all of a sudden, people in states that never had power have power, groups that never had power all of a sudden have power. And quite frankly, we stop obsessing over the soccer mom in Wisconsin. Anyways, this is a huge moment for young people in terms of who was elected, in terms of the power. The swing amongst young people was dramatic. Oh my gosh. That was, I mean, argue you could say that's the story of this election, but it's really exciting. The electorate is starting to look more like America. It's coming down. And what would be the best theme, I think, I think the two themes for the democratic party, if they want to own versus just rent this group is to say, we are going to do what America has been best at. And that is offer you more opportunity than was offered your parents even more than previous generations. And America is going to do whatever it takes Whatever it costs, we are a 30 trillion economy. We are going to ensure that we are going to continue to support Ukraine or restart our support of Ukraine until he leaves Ukraine. If I had to focus on two messages that send the right signal, it would be restoring opportunity and prosperity for America's youth and committing to defending Europe against a murderous autocrat. You can only pick, there's so many messages you could go with. The close third might be making healthcare more affordable. But the Democrats, again, we were talking about this last week, great CEOs. It's not about what they do, it's about what they don't do. And we keep talking about Apple. Look what Apple decided not to do, not to get into the AI race. Their stock is up more than any of the mag seven this year. The Democrats are gonna have to show real messaging discipline. There's a lot of things they could go for. They're gonna have to put two, maybe three things to focus on to ensure

SPEAKER_06: to convert this girlfriend into a marriage, if you will. Yeah. I mean, I think what I'm going to want to see from the Democrats is a focus on the wealth transfer from young people to old people. And one, I want to hear them take it seriously. I want them to acknowledge what's happened. I want them to be vocal about that and show us that they understand what the problem is. But then I want to see a solution. Like I want to see actual tax reform here. And I think there are a lot of different ways that you could go with it, but I want them to be thoughtful and surgical about how we fix it. Maybe it means looking at income tax versus capital gains tax, maybe

trying to equalize them, but at the same time, maybe that's not surgical enough because you're not identifying the specific problem, which is that the boomers have accumulated vast amounts of wealth. at the behest of young people. Maybe it's looking at social security, having tough conversations about that. Maybe it means testing social security. I mean, a lot of different avenues you can go down. But I do want to see the Democrats come up with a plan that actually addresses it. Because one thing I could see them doing is saying, yeah, we care about young people. And they don't do anything about it. They basically just make it a talking point, at which point young people certainly will turn on them. But yes, this election was certainly a vote of no confidence among young people. Young men specifically. I mean, I felt this back in 24, which is that I think that young men, what they liked about Trump was that he was kind of a bro. And that was basically it. He went on the podcast. He talked about women. He kind of had this bro attitude that young people were like, oh, that's kind of funny. Maybe I like that. And I said this from the beginning. Yes, it's powerful, but for a very short amount of time. I mean, the half life on liking him for that reason was a couple of months long. And that's what we saw. And then suddenly it ran out and they were like, oh, this was a joke. We were completely lied to. What were we doing? And then they came to their senses, which is incredibly heartening to see. But we are going to need to see some real action from the Democrats to address this inequality problem, specifically between the young and the old. And it'll be interesting to see what they come up with. I hope they come up with something good. I just want to say I'm really heartened. I do think that, you know, there's a lot of candidates on the far left that I'm not a big fan of, but I do think it's... I am heartened by how optimistic you feel and...

SPEAKER_03: I like how people such as yourself at your age are getting bigger platforms and don't have to wait till you're 45 to get a show on, you know, MS Now or whatever. I would, but I work with you, so that's why I get that luxury. So thank you. Go on! But I do think it's important that people my age who are maybe a little bit, I don't know, rattled by some of the policies of what I'll call the far left, recognize... I've got maybe another 20 or 30 years on this planet. You've probably got another 80 or 100. And it's very exciting to see a youth movement and the energy. And you never get to calibrate the next movement, but it's just exciting to see people of

your generation this excited and invested in America. It's a very hopeful moment. And I just hope that we don't waste it and that we hold onto it. And again, we need to offer your generation the same opportunities that my generation was so blessed to have. And I'd like to think this was that moment and that the American arc is jagged, but it does bend towards justice and prosperity. And I think the whole world was celebrating yesterday. This wasn't a, let's interpret what this means. In Melbourne, they were partying like crazy. I mean, the entire Western world is like, oh, thank God. We, you know, dad has been such a wonderful guy. He gets it wrong. He's loud, occasionally practices his karate moves at Thanksgiving and it's ick, but he's a good man. He's a good man and he protects the neighborhood and he's generous. And then all of a sudden he developed a method diction and we weren't sure we were ever going to get dad back. And it feels like yesterday, dad came back from rehab and seems to be him again. And I think the whole world has a greater appreciation for American ideals, American laws, American markets, American capital formation, American empathy for people outside of America. The most transformative thing about America hasn't been our might, hasn't been our strength, or even our wealth. It's been the fact that we see a mutually vested interest in the success of others. that every human is blessed with certain inalienable rights that afford them dignity. And when we afford dignity and opportunity to people we will never meet, people who will never be American citizens, it benefits all of America. That is what has been transformative about America. There have been great powers with as much might as us, but there's never been a nation that has been this empathetic and this focused on having mutual beneficial relationships with other people by providing them dignity. providing them opportunity and recognizing that it creates a virtuous, wonderful circle. And I feel like that circle has been squared again for the first time in the last decade. Amen. Agreed. Okay, let's take a look at the week ahead.

SPEAKER_06: We'll see inflation data from the consumer price and producer price indices for October. We'll see earnings from Constellation, Energy, Skydance, CoreWeave, Cisco, Nebius, and Cerebris. Wow, CoreWeave, Nebius, Cerebris. Those guys have gotten crushed. Scott, any predictions? I'm just going, I'm just fascinated by this thing that Tom Lee said, that Deutsche Bank did the analysis and said that whenever there's

been, that whenever Democrats have taken control of the Senate, regardless of the politics or the situation, the markets have ripped up.

SPEAKER_03: Markets on average are up 8% or 9% a year. Whenever this has happened, the markets are up 12% on average. So my prediction is we're going to go 21 for 21. And in the next six months, we're going to see an above average returns in the S&P. My prediction, I think that the Democrats have been caricatured as these AI abolitionists, that data centers are over. They're going to ban them.

SPEAKER_06: I don't think that's happening. I think we'll see some thoughtful regulation. I think these Democrats are sensible. Yeah, you might see some pauses, but come on, that's in the grand scheme of things, not a big deal. I think that this is going to be the era of sensible AI regulation. This episode was produced by Claire Miller and Alison Weiss and engineered by Benjamin Spencer. Our video editor is Jorge Carti. Our research team is Dan Shallan, Kristen O'Donoghue and Mia Silverio. Jake McPherson is our social producer. Drew Burrows is our technical director and Catherine Dillon is our executive producer. Thank you for listening to ProfG Markets from ProfG Media. If you liked what you heard, give us a follow and tune in tomorrow for a fresh take on the markets.